Eris Lifesciences Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

A branded-medicine company focused on long-term (chronic) conditions in India: diabetes is about 37-38% of sales, then cardiology, dermatology and vitamins. It bought Biocon's India branded business (insulins) and Swiss Parenterals (injectables for export markets), and is building its own insulin plant at Bhopal.

- Market cap about Rs 17,678 cr: what the market values the whole company at.
- FY26 consolidated revenue Rs 3,129 cr, up 8%; EBITDA up 10%.
- Domestic branded formulation (DBF) EBITDA margin 37% in FY26: very high for pharma.
- Q2 FY27: consolidated revenue up 12.6%, EBITDA up 7.3%, profit up 39.2%; domestic branded business up 14.1% (16.5% excluding the portfolio handed to Zorvia).
- Net debt about Rs 2,144 cr at Sep 2026, about 2x EBITDA; Rs 150-200 cr to be repaid this year.

2. Concall coverage

Quarter / source	Date	Read?
Q2 FY25	Nov 2024	Not retrievable
Q4 FY25	May 2025	Yes (skimmed)
Q1 FY26	Aug 2025	Yes (skimmed)
Q2 FY26	Nov 2025	Yes (skimmed)
Q3 FY26	Feb 2026	Yes (skimmed)
Q4 FY26	May 2026	Yes
Q1 FY27	Jul 2026	Yes
Q2 FY27	Oct 2026 (transcript filed 29 Oct 2026)	Yes, in full

Seven calls across about a year and a half, taken from the company's website (Screener had no working transcript links). The latest call was read in full.

Latest concall highlights - Q2 FY27 (transcript filed 29 Oct 2026)

- Domestic branded business up 14.1%; management sticks to growing 300 basis points ahead of the market. Its semaglutide (GLP-1, for diabetes and weight loss) brand is number one in units and prescriptions, about Rs 16-18 cr in the quarter.
- H2 EBITDA margin now expected around 36%, ahead of the 35% guided. Gross margin gains coming from the Zorvia out-licensing and the Bhopal plant (about 100 basis points each in H2), and 150-200 basis points once all products move to Bhopal by about Q2 next year.
- Swiss Parenterals: after EU GMP non-compliance observations, the plant is being fixed; FY27 revenue now guided at plus or minus 5% of last year, down from 18-20% growth guided in May 2026. Re-inspection expected around year end.
- Handed a roughly Rs 100 cr injectable and acute portfolio, which made no EBITDA, to Zorvia Healthcare for a 7% royalty. Esaxerenone (heart/kidney drug) launching after delays; one to three insulin analogs planned for next year.
- Capex cycle ending: about Rs 100 cr left in H2, then much lower. An exceptional loss of about Rs 30-35 cr on 'at-risk' patent-challenge products.

Business mix & capacity

- Domestic vs export: India is the bulk; the international business (Swiss Parenterals) was Rs 348 cr of Rs 3,129 cr in FY26, about a ninth.
- Capacity: the Bhopal insulin plant has started production and capacity is being doubled; Swiss Parenterals is building a new block, with validation batches expected around March-April.

3. Earning trigger thesis

The earnings story is margin and new products: moving insulin production in-house at Bhopal (better gross margin and a lower tax rate), shedding low-margin products to Zorvia, the semaglutide launch, and insulin analogs from its own pipeline, all as capex ends and debt starts falling. The domestic business is already growing ahead of the market. But regulatory delays keep pushing things out: Bhopal ran a year late, launches slipped, and the Swiss plant's EU problem cut export guidance.

Trigger	What management said	Evidence so far	Time horizon	Strength
Bhopal insulin in-sourcing	Bhopal to make vials, then cartridges, from FY25-26	Delayed nearly a year by regulatory approval; production now started, full shift by about Q2 FY28	FY27-FY28	Moderate: late but now real
Semaglutide (GLP-1)	Big opportunity; market could double next year	Number one in units and prescriptions; Rs 16-18 cr a quarter	FY27-FY28	Moderate
Domestic growth ahead of market	300 basis points ahead of market	Up 14.1% in Q2 FY27	Ongoing	Strong
Swiss Parenterals CDMO	18-20% growth guided in May 2026	EU GMP observations; guidance cut to plus or minus 5%	FY28+	Weak for now

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	'We are aiming for around INR 150-200 crores of a paydown this year' (Oct 2026)
New business	Yes	Semaglutide brand number one in units and prescriptions; analogs and Esaxerenone launching (Oct 2026)
Margin up	Yes	H2 EBITDA margin seen around 36% vs 35% guided; gross margin gains from Zorvia and Bhopal (Oct 2026)
New management	No	Not stated
New capacity	Yes	'Our Bhopal has already started manufacturing'; ramp-up from the first quarter of next year (Oct 2026)
Big orders	No	Not applicable
Turnaround	No	Not stated
Promoter buying	No	Not stated

Single concrete driver: In-house insulin production at the Bhopal plant lifting gross margin, plus the semaglutide launch and new insulin analogs, as capex ends and debt is paid down.

3c. Margin bridge

Q2 FY27 consolidated EBITDA grew slower than sales (7.3% vs 12.6%), so margin dipped, because of higher other expenses for launches, development and regulatory filings. Gross margin rose about 1.3 points on the quarter from product mix. Management expects H2 margins near 36% and more gains from Bhopal and Zorvia (lasting if Bhopal ramps as planned).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25 (May 2025)	Revenue and EBITDA guidance	97% of revenue and 98% of EBITDA guidance	Partly
May 2025	Bhopal cartridge facility by end of FY26	Bhopal commercial production delayed nearly a year; Rs 50 cr insulin sales lost in FY26	Missed
FY26 launches	Aspart, Esaxerenone, gSaxenda	Aspart and Esaxerenone pushed to FY27; gSaxenda abandoned	Missed
FY26 international	Rs 375 cr revenue	Rs 348 cr	Partly
May 2026	Swiss 18-20% growth; EU observations 'minimal impact'	Cut to plus or minus 5% in Oct 2026	Missed
FY27 domestic	Growth 1.3x covered market / 300 basis points ahead; DBF margin about 37%	14.1% in Q2; H2 margin ahead of guide	On track

The strategy hasn't changed: chronic therapies, diabetes as the moat, build insulin and injectable capabilities. Management is open about misses and lists them itself. But the timelines keep slipping on regulatory delays, and the Swiss guidance went from a strong number to flat within one quarter.

5. Bottom line

Durable earning trigger? → MAYBE

The domestic business is clearly working and the margin levers (Bhopal, Zorvia) are named and close. But the bigger new levers keep getting delayed, and the Swiss export business is on hold until re-inspection.

Management consistent? → MAYBE

Domestic guidance is usually met, but Bhopal, several launches and the Swiss guidance all slipped. The tone is candid, the delivery on new projects isn't.

6. Checkpoints for next quarter

- Gross margin rises in Q3 as Zorvia and Bhopal kick in
- Swiss Parenterals EU remediation closes and re-inspection is booked
- Net debt keeps falling toward the Rs 150-200 cr paydown

Sources

- Eris Lifesciences earnings call transcripts, Q4 FY25 to Q2 FY27 (company website, eriswebsite.eriscare.co.in)
- NSE filing of 29 Oct 2026: intimation of Q2 FY27 transcript
- Screener.in ERIS snapshot

This is not investment advice. Do your own due diligence.